

Does ODTE Options Trading Increase Volatility?

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Local purpose: preserve the paper provenance used in the OptionDepth reconstruction docs.

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How It Was Used

- To justify treating ODTE exposure as a meaningful intraday volatility input rather than a negligible edge case.
- To motivate backtests that separate ODTE-heavy sessions from ordinary expiry structure.
- To support the claim that next-session EOD heatmaps should be stress-tested most aggressively on index products with concentrated same-day hedging pressure.

Paraphrased Takeaways Used In The Docs

- The paper studies whether ODTE options activity is associated with higher market volatility, especially in index-linked products.
- The relevant mechanism for our use case is dealer hedging pressure near expiry, which can change realized intraday price behavior even when the underlying news flow is unchanged.
- That makes ODTE concentration an empirical calibration problem for our heatmap and backtest stack, not something we should ignore or assume away.

Where This Brief Is Referenced

- OPTIONDEPTH_EOD_RECONSTRUCTION_METHOD.md, Section 19
- appendix/SOURCE_INDEX.md